AARON PAYNE

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FIELD(S)

Public Economics, Applied Microeconomics, Optimal Taxation

EDUCATION

The Wharton School at the University of Pennsylvania
PhD Applied Economics 2026

Vassar College
BA Economics 2017

REFERENCES

Professor Benjamin Lockwood
317 Dinan Hall
3733 Spruce St, Philadelphia PA 19104
ben.lockwood@wharton.upenn.edu

Professor Alex Rees-Jones
328 Dinan Hall
3733 Spruce St, Philadelphia PA 19104
alre@wharton.upenn.edu

Professor Judd Kessler
320 Dinan Hall
3733 Spruce St, Philadelphia PA 19104
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WORKING PAPERS

"Income-Based Fines: Evaluating Rationales for Finnish Speeding Penalties" (with Martti Kaila). *Draft available upon request.*

Abstract: This paper evaluates rationales for income-based speeding fines. Such fines are famously applied in Finland, where a $250 offense for a low-income speeder can cost $100,000 for the rich. We consider four leading policy rationales—externality mitigation, redistribution, equal compliance, and proportional punishment—using linked Finnish administrative data and an original survey. First, using an earnings-loss design, we find that marginal speeding costs *decrease* with offender income, leading us to reject externality mitigation as a rationale. Next, we assess the redistributive rationale. In standard models, speeding fines can aid redistribution only if preferences for speeding co-vary with income. We recover preference heterogeneity by differencing speeding behavior with respect to causal effects of income on speeding, estimated from within-individual earnings variation and inheritance shocks. The estimated preferences are *negatively* correlated with earnings, implying that Mirrleesian redistribution rationalizes a *lower* fine on the rich. Finally, we use our survey to assess whether preferences for equal compliance or proportional punishment are motivating rationales. Respondents trade off fixed and income-based speeding fine policies, where we vary the induced across-income distribution of behavior and fine-schedule "steepness" of the latter. Net of redistribution, respondents are on-average willing to forgo €144 million in government revenue to implement income-based policies. However, these valuations are insensitive to induced behavior or schedule-steepness, ruling out our candidate rationales. We conclude that income-based fines cannot be justified using leading economic or fairness-based rationales for their existence.

RESEARCH PUBLICATIONS

"Owner-Occupancy Fraud and Mortgage Performance" (with Ronel Elul and Sebastian Tilson), *Real Estate Economics*, Vol. 51 (September 2023), 1137-1177. Link

WORKS-IN-PROGRESS

"Does the IRS 'Filing Threshold' Reduce EITC Take-Up? Estimates of Missing Mass and Filing Costs." *Draft available upon request.*

EMPLOYMENT

Institute for Fiscal Studies
Post-Doctoral Fellow — August 2026-Present

The Wharton School
Research Assistant for Professor Benjamin Keys — Summer 2021

Federal Reserve Bank of Philadelphia
Research Assistant for Economist Ronel Elul — 2017-2020

FELLOWSHIPS, AWARDS, AND GRANTS

Yrjö Jahnsson Foundation Grant: €10,000 — 2024
Carlos and Rosa de la Cruz Fellowship (Wharton) — 2024
Winkelman Fellowship (Wharton) — 2022
Amy Morse Prize (Wharton) — 2022
Agnes Reynolds Jackson Prize (Vassar College) — 2017

REFEREEING

American Economic Review, "Handbook of Experimental Methods in the Social Sciences" (Editor: Alex Rees-Jones), Journal of Public Economics

TEACHING

Teaching Assistant:
American Public Policy Through an Economic Lens (BEPP 2010, Wharton) — Fall 2025

Introductory Economics (BEPP 1000, Wharton) — Fall 2022; Fall 2023

PRESENTATIONS

2026
University of Illinois Chicago, IIPF Annual Congress

2025
NTA Annual Conference, Normative Economics and Economic Policy Webinar, IIPF Annual Congress

2024
NTA Annual Conference

OTHER ACTIVITIES

Price Theory Summer Camp (University of Chicago) — 2024